they are established and destructive to those which have the misfortune to fall under their government.

Thus, reorganisation of the relations between the British state and the Company's authorities became necessary and the occasion arose when the Company had to ask the government for a loan of £1,000,000. But, while the Company's enemies were many and powerful, it was not without powerful friends in the Parliament; moreover, the king, George III, was its patron. The Company, therefore, fought back. In the end, the Parliament worked out a compromise by which the interests of the Company and of the various influential sections of British society were delicately balanced. It was decided that the British government would control the basic policies of the Company's Indian administration so that British rule in India was carried on in the interests of the British upper classes as a whole. At the same time the Company would retain its monopoly of Eastern trade and the valuable right of appointing its officials in India. The details of Indian admnistration were also left to the directors of the Company.

The first important parliamentary act regarding the Company's affairs was the Regulating Act of 1773. This Act made changes in the constitution of the Court of Directors of the Company and subjected their actions to the supervision of the British Government. The Regulating Act soon broke down in practice. It had not given the British government effective and decisive control over the Company. The Act had also failed to resolve the conflict between the Company and its opponents in England who were daily growing stronger and more vocal. Moreover, the Company remained extremely vulnerable to the attacks of its enemies as the administration of its Indian possessions continued to be corrupt, oppressive, and economically disastrous.

The defects of the Regulating Act and the exigencies of British politics necessitated the passing in 1784 of another important act known as the Pitt's India Act. This Act gave the British government supreme control over the company's affairs and its administration in India. It established six commissioners for the affairs of India, popularly known as the Board of Control, including two Cabinet Ministers. The